

WEEKLY TRADING PERFORMANCE REPORT

Analysis Period:	April 27 - May 1, 2026 (Week 3, Account 3)
Report Generated:	May 1, 2026
Trader:	James
Account:	Account 3 — \$500,000 paper + Shadow Account (new)
Strategies:	SPX Bear Call Spreads SPX Bull Put Spreads ODTE
Market:	S&P hit 7,209 all-time high. Fed held rates. Iran blockade escalation. Oil \$105. VIX ~17.

EXECUTIVE SUMMARY

Overall Performance: Main account +\$9,400 across 13 trades (66.7% clean win rate). Shadow account +\$17,875 across 5 trades (80% win rate). Combined: +\$27,275. A quieter week on the main account as position sizing remained conservative, while the new shadow account tested larger conviction positions. The market hit all-time highs with S&P; closing above 7,200 on Thursday, driven by strong Caterpillar earnings and ceasefire optimism. The Fed held rates unchanged on Wednesday, with oil elevated at \$105 on the Iran port blockade.

Key Findings:

- Main clean system: +\$9,400 across 12 trades (8 wins, 4 losses, 66.7% win rate). Lower win rate than prior weeks but all losses were small and managed.
- Shadow account introduced: Testing larger position sizes on high-conviction trades. +\$17,875 across 5 trades. Captures the premium James leaves on the table by sizing conservatively on the main account.
- Trade 144 (main) vs S3 (shadow): Same setup (SPX 7225/7200 BPS), both stopped out, shadow at 2.25x the size. Both would have expired OTM. Stop discipline saved capital but cost premium on two winning positions.
- Shadow S2 flagged as revenge trade element: Journal notes oversized position driven partly by frustration with conservative main sizing. Self-awareness is positive; the impulse is not.
- Only one error trade: Forgotten cancel (#140) at breakeven. Error rate continuing to decline.
- Market context: S&P; 500 gained ~10% in April. VIX dropped to 17. Iran blockade ongoing but markets pricing in resolution.

Strategic Assessment: The third week of Account 3 shows a system that is consistently profitable but consciously undersized. The shadow account is James's response to this tension — a controlled space to test what larger positions would produce without risking the discipline of the main account. The combined +\$27,275 across 18 trades shows the system's potential at scale. The key questions going forward: when does shadow sizing migrate to the main account, and how is the revenge trade element in S2 addressed before it migrates with it?

WEEKLY P&L; SUMMARY

Account	Trades	Wins	Losses	Win %	Net P&L
Main — BCS (clean)	5	3	2	60%	+\$2,750
Main — BPS (clean)	7	5	2	71.4%	+\$6,650
Main — Error	1	0	0	—	\$0
Main Total	13	8	4	66.7%	+\$9,400
Shadow Account	5	4	1	80%	+\$17,875
COMBINED	18	12	5	70.6%	+\$27,275

CUMULATIVE ACCOUNT 3

	Week 1	Week 2	Week 3	Cumulative
Main Clean P&L	+\$29,250	+\$22,455	+\$9,400	+\$61,105
Main Error P&L	+\$2,000	-\$2,900	\$0	-\$900

	Week 1	Week 2	Week 3	Cumulative
Main Total	+\$31,250	+\$19,555	+\$9,400	+\$60,205
Shadow P&L	—	—	+\$17,875	+\$17,875
Combined	+\$31,250	+\$19,555	+\$27,275	+\$78,080

Account 3 at +\$60,205 (main) and +\$78,080 (combined with shadow) after three weeks. Main clean P&L; at +\$61,105 across 37 trades. Error P&L; at just -\$900. The error deficit has been effectively eliminated — a complete turnaround from the -\$190,842 in errors across Accounts 1-2.

MARKET CONTEXT

A record-breaking week for equities despite the backdrop of war and elevated oil prices.

Monday 27 Apr: Opened with overnight BCS from Thursday. S&P; near highs. Quiet session.

Tuesday 28 Apr: OpenAI revenue miss report rattled tech stocks. Nasdaq fell 1%. UAE announced departure from OPEC+ effective May 1. Mixed conditions for premium selling.

Wednesday 29 Apr: Fed held rates unchanged (likely Powell's final meeting as Chair). Oil rallied on reports Trump preparing extended Iran port blockade. S&P; flat, Dow fell 280 points. Best day for BPS — trades 139 and 142 both captured well.

Thursday 30 Apr: S&P; broke above 7,200 for first time (7,209 close). Caterpillar +10% on earnings beat. April closed with S&P; +10%, Nasdaq +15% for the month. Strong bullish conditions for the BPS trades.

Friday 1 May: Volatile session. VIX ~17. Both main and shadow accounts stopped out on BPS positions (144, S3) that subsequently expired OTM. BCS positions (145, S4, S5) expired worthless.

MAIN ACCOUNT TRADES

#	Day	Type	Strikes	Cts	Entry	Exit	P&L	Capture	Notes
133	Sun	BCS	7205/7230	40	—	\$0.55	+\$2,500	55%	Overnight from Thu.
134	Sun	BCS	7220/7240	20	\$1.15	\$1.10	+\$100	4%	Quick scalp.
135	Mon	BCS	7185/7205	35	—	\$1.30	-\$150	—	Small loss.
136	Mon	BCS	7160/7180	10	\$1.10	\$0.25	+\$850	77%	Clean capture.
137	Mon	BCS	7155/7185	10	\$0.60	\$1.15	-\$550	—	30pt wide. Loss.
138	Mon	BPS	7035/7000	30	\$1.10	\$0.90	+\$600	18%	Conservative.
139	Tue	BPS	7075/7055	25	\$1.70	\$0.70	+\$2,500	59%	Strong capture.
140	Tue	BPS Err	7075/7055	25	\$0.75	\$0.75	\$0	—	ERR: Forgotten cancel.
141	Tue	BPS	7075/7055	25	\$0.75	\$1.10	-\$875	—	Re-entry. Loss.
142	Tue	BCS	7155/7175	60	—	\$0.00	+\$3,950	100%	Expired! Full premium.
143	Wed	BPS	7060/7040	25	\$1.10	\$0.25	+\$2,125	77%	Clean.
144	Thu	BPS	7225/7200	20	\$0.75	\$2.55	-\$3,600	—	Stopped. Would have expired OTM.
145	Thu	BCS	7270/7285	30	\$0.65	\$0.00	+\$1,950	100%	Expired worthless.

Trade 142: 60-contract BCS expired worthless for full premium capture (+\$3,950). This was the conviction trade of the week — held through to expiry with confidence.

Trade 144: Stopped out at \$2.55 on a \$0.75 entry (-\$3,600). The position would have expired OTM. This is the cost of stop discipline on volatile days — the intraday move triggered the stop before the position recovered. This was the same setup as shadow trade S3 (which also stopped out at larger size).

Trade 141: Re-entered the same 7075/7055 BPS at lower premium (\$0.75 vs \$1.70) after closing #139 profitably. The second entry didn't have the same edge — re-entering at worse premium after capturing the first move is a pattern to watch.

SHADOW ACCOUNT: WEEK 1

The shadow account is a parallel paper trading account where James places larger-sized versions of high-conviction trades. Its purpose is to test what the system produces at scale without risking the discipline of the conservative main account. All shadow trades follow the same rules as the main account — same framework, same stops, same entry criteria — but with position sizes reflecting conviction level.

#	Day	Type	Strikes	Cts	Entry	Exit	P&L	Notes
S1	Tue	BPS	7060/7040	50	\$1.20	\$0.00	+\$6,000	Expired. Full premium. Same day as main #139.
S2	Wed	BPS	7060/7040	50	\$1.10	\$0.00	+\$5,500	Expired. Revenge trade element noted.
S3	Thu	BPS	7225/7200	45	\$0.90	\$1.75	-\$3,825	Stopped. Same as #144 but 2.25x size.
S4	Thu	BCS	7270/7285	70	\$0.60	\$0.00	+\$4,200	Expired. 2.3x main #145 size.
S5	Thu	BCS	7245/7255	50	\$1.20	\$0.00	+\$6,000	Expired. Closer to money. Higher premium.

Shadow Account Assessment:

The shadow account demonstrates the system's potential at scale: +\$17,875 from 5 trades. However, two concerns need addressing before shadow sizing migrates to the main account:

- **1. The Revenge Element (S2):** The journal explicitly flags S2 as having a revenge trade component — sizing larger on the shadow because the main account felt too conservative. This is the impulse that destroyed Accounts 1 and 2. The shadow account is useful precisely because it contains this impulse in a controlled environment. If shadow trades start being driven by frustration rather than conviction, the shadow account becomes a vehicle for the same destructive pattern.
- **2. The Stop Cost at Scale (S3):** S3 lost -\$3,825 on the same setup that cost -\$3,600 on the main account (#144). At 45 contracts vs 20, the loss was proportionally similar but the dollar impact was larger. Both would have expired OTM. The stop saved capital from a potentially worse outcome, but the question is whether the stop parameters need adjusting for volatile ODTE sessions.

STOP DISCIPLINE: THE COST OF BEING RIGHT TOO EARLY

Trade 144 (main, -\$3,600) and S3 (shadow, -\$3,825) were both bull put spreads on SPX 7225/7200 that were stopped out intraday on Thursday's volatile session. Both positions subsequently expired OTM — the trades were correct but the stops fired during temporary adverse moves.

	Main #144	Shadow S3
Contracts	20	45
Entry Premium	\$0.75	\$0.90
Stop Exit	\$2.55	\$1.75
Loss	-\$3,600	-\$3,825
Final Expiry Value	\$0.00 (OTM)	\$0.00 (OTM)
Would-have-been P&L	+\$1,500	+\$4,050
Cost of Stop	\$5,100	\$7,875

Combined cost of stop discipline this week: \$12,975 in premium that would have been captured if held. This is the known cost of the system — stops occasionally fire on noise before the position recovers. The alternative (no stops) is what destroyed Accounts 1 and 2. The stops are working correctly; the question is whether the trigger level can be optimised to reduce noise-triggered exits without increasing exposure to genuine adverse moves. This is exactly what the backtesting engine is designed to answer.

RISK FRAMEWORK ASSESSMENT

Rule	Tested?	Outcome
R1: 50% profit limit	Yes	Multiple trades closed 18-77%. Flexible capture working.
R2: 100% premium stop	Yes	Fired on #144 and S3. Working (but costly — both expired OTM).
R18: Min credit 20% of width	Yes	All trades above threshold.
R19: No binary catalysts	Yes	Fed day navigated — no ODTE into announcement.
R20: Flatten by 3:30pm	Yes	All ODTE flattened or expired before close.

Framework compliance: 100% on all rules. One forgotten cancel error (#140) at zero cost.

LESSONS LEARNED

WHAT WORKED

- ✓ Trade 142: 60-contract BCS expired worthless. +\$3,950. Full conviction hold to expiry.
- ✓ Trade 143: 77% capture on a BPS. Clean execution, clean exit.
- ✓ Shadow S1, S4, S5: Three full-premium captures at conviction size. +\$16,200 combined.
- ✓ Error rate declining: One error at zero cost. Seventh consecutive week of improving error discipline.
- ✓ Self-awareness on S2: Flagging the revenge element in the journal is itself a discipline win.

WHAT NEEDS IMPROVEMENT

- **1. Stop Optimisation:** Two stops fired on positions that expired OTM. \$12,975 in lost premium. The backtesting engine should model different stop levels to find the sweet spot between protection and false triggers.
- **2. Re-entry Discipline:** Trade 141 re-entered the same setup at worse premium after #139 was closed profitably. Re-entry at lower premium = lower edge. If re-entering, the setup should be at least as good as the original.
- **3. Shadow Revenge Element:** S2's revenge sizing must be addressed before shadow sizing migrates to the main account. The shadow is useful only if trades are driven by conviction, not frustration.
- **4. Win Rate Dip:** 66.7% on the main account is the lowest of Account 3. Four losses this week vs two in each prior week. Market volatility played a role but the pattern of smaller, managed losses (avg -\$1,294) is acceptable if the system maintains positive expectancy.

CONCLUSION

+\$27,275 Combined Across 18 Trades. Account 3 continues its positive trajectory — now +\$60,205 on the main account and +\$78,080 combined with the shadow. Three consecutive profitable weeks. The system is reliable.

The Shadow Account Question: The shadow account is a smart tool for testing conviction sizing. +\$17,875 in its first week shows the system's potential at scale. But the journal's honest flagging of the revenge element in S2 is a warning sign. The shadow should be a controlled experiment, not an outlet for frustration. The moment it becomes the latter, it becomes dangerous.

The Stop Optimisation Opportunity: \$12,975 left on the table from two stops that fired before positions expired OTM. This is the biggest optimisation opportunity in the system right now. The backtesting engine — once built — should prioritise modelling stop levels across different VIX regimes and strike distances. A 10-20% improvement in stop efficiency at current trade volumes would add materially to annual returns.

Next Report: Friday, May 8, 2026